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Open Models and the Impact on the AI Trade

Equities

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Summary

The twin AI trends of token optimization and a share shift to cheaper open models (Chinese or otherwise) are dominating our investor discussions over the last several weeks, as investors judge whether and how these trends will impact AI spending and specifically chip/hardware suppliers, the hyperscalers (AWS/Azure) and the software sector. Last week, we hosted many of the highest-profile AI-native firms on stage at our 5th Annual UBS Private AI and Software event in Menlo Park, and we addressed these subjects in detail. In this note we offer their unvarnished feedback and update our views of the impacts across the AI trade.

What We Heard

Several themes stood out: 1. The revenue growth rates of these AI-natives have been extraordinary. This signals that enterprises ARE indeed leaning into AI and not just in the coding arena. 2. Token spend optimization is real. When we first weighed-in on this subject last month, we concluded that AI compute/token spend had become a real concern for ~60% of organizations. That figure now feels higher. 3. Over the last few months we have quietly passed into a multi-model world, in which frontier labs will coexist and compete with a plethora of other AI models, some closed-source, many open-sourced and/or custom-built for companies and use cases. 4. Model routing – dropping down to cheaper more token-efficient AI models where appropriate – was described as a core competency by almost every one of these AI-natives and now sounds like table-stakes for AI application and infra firms. 5. Open Chinese models have arrived. The game has changed and now it is not just about advancing the frontier of performance and use cases, but also very much about token efficiency/cost. Nvidia's Nemotron model was cited as an alternative by many. 6. Even earlier-stage is a trend to custom or specialized models fine-tuned on foundation models and designed for specific customers and specific tasks. This is the pitch from privately-held Fireworks and other "inference platforms" and also a trend that Microsoft's CEO is calling out.

Impact by Tech Sector

We conclude: 1. These trends could weigh on the growth rates of the frontier labs, but the consensus view was that AI spending growth is so robust/early-stage that frontier as well as open models could both win. Investors are now on edge for any update on OpenAI and Anthropic growth. 2. At the GPU layer, we do not view open model traction as reducing demand. Rather, demand is being reallocated toward cost-effective models and workloads and is bullish Nvidia. 3. The hyperscalers (AWS/Azure) are already multi-model platforms and are also facing a wall of AI demand, such that the impact should also be neutral/positive. The share price risk is more from the high frontier lab exposure. 4. These trends could be a modest headwind for software sentiment. Customers may react to rising AI token costs by throttling apps/services spend and we're not convinced that model neutrality is easily monetized by incumbents.

Backdrop to the Debate

The impact that widespread adoption of open source (mostly Chinese) AI models will have on the AI trade – across semis, hardware, cloud AI infrastructure providers as well as software firms – has become THE dominant topic among tech investors over the last month or so. This investor discussion has been triggered by several developments, including a) recently-launched open source Chinese models such as Z.ai's GLM 5.2 and Moonshot's Kimi K3 approaching the performance levels of premium Anthropic and OpenAI models in public benchmarks, b) third-party model use data from the likes of OpenRouter showing material share gains by the Chinese open source models and c) public statements from OpenAI (*"AI costs have now become a huge issue that never came up at the start of the year"*) as well as enterprises such as Uber and Coinbase (putting guardrails in place to control an unexpected spike in AI/token costs) pointing to a growing degree of AI price sensitivity and therefore an openness to cheaper AI models.

Focus on Customer/User Feedback

The performance benchmarks, OpenRouter model share data and comments from the likes of OpenAI and Uber are all in the public domain, are all over our X/Twitter feed and have been published in research reports by other sell-side analysts. We will contribute nothing to the debate by sharing the same. Where we hope that we CAN be additive is by sharing real-world qualitative feedback from the companies – F500 enterprises as well as smaller AI-natives at the forefront of the AI phenomenon – about the pace of their AI adoption, their efforts to manage AI costs via token optimization and their AI model preferences. In our judgement, this may in fact be the higher-quality data but it is not in the public domain and shaping investor decision-making. Our goal is to fill that gap. The UBS AI & Software team has done so via three recent reports published very soon after anecdotes about token optimization and routing to non-frontier models first started to hit our radars in May. In these three reports we offered dozens of excerpts from our direct conversations with customers and partners about their token optimization efforts and AI model choices.

- **June 8:** "Token Costs – What Customers are Saying" (link here)
- **June 23:** "The Ramp in Token Optimization" (link here)
- **July 13:** "AI & IT Budgets Through The Procurement Lens" (link here)

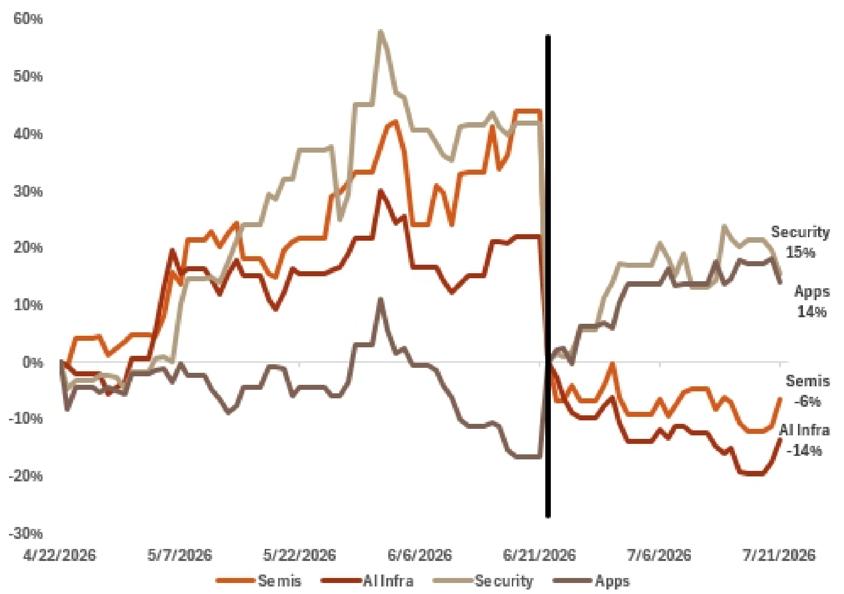
Initial Conclusion – Modest Risk to AI Trade

We concluded that these early efforts to curb AI spending growth represented a risk to the AI trade, as rising AI token/compute costs have now become a real concern for most organizations – we initially said 60%+ but would argue that figure is now higher. Most organizations are introducing some form of guardrail to monitor or control AI token usage, with an emerging trend to down-tier/pivot to cheaper open source Chinese models for tasks that don't require the high-end Anthropic and OpenAI models. This raises the risk profile of the growth curves for the frontier AI research labs, and we concluded that any token optimization lever that even temporarily weighs on the revenue growth rates of OpenAI or Anthropic is not positive for anyone in the AI eco-system. However, we were measured about this risk to the AI trade given a view that a) token costs are rising because AI usage is rising – it's a healthy problem, b) some measure of spend optimization is normal at the beginning of a hyper-growth tech cycle, c) not all organizations were token optimizing and no enterprise was signaling that they were hitting the brakes on AI deployment, they were simply trying to move forward more efficiently and d) OpenAI and Anthropic were unlikely to stand still while cheaper open models take share, they'd likely respond by investing in new, more token-efficient models trained on next-gen chips.

Impact on Tech Stocks

The subjects of token optimization and share gains by Chinese open source models have moved to the forefront of the tech investor debate. We'll discuss our updated views of the impact of these trends across each corner of the tech space at the end of this report, but to summarize the views across many investor conversations, most in our judgement are minimizing the risk and in many cases arguing that these trends may prove to be a GOOD thing for semis demand, for memory demand, for the hyperscalers and potentially even for the software sector. While there are obviously many variables impacting stocks, the share prices of each tech sub-sector over the last month, as we illustrate in Figure 1 below, would certainly appear to suggest that SOME investors are concerned. As noted below, in the last month we've seen a sharp rotation out of semis and AI infrastructure (most exposed to AI models/compute spend, in the token path) to security and application software (least exposed to AI models/compute spend, not in the token path). At the end of this report we'll weigh in with our views on whether this initial reaction is justified.

Figure 1: Tech Sector Performance – Last One Month



Semis	NVDA	AVGO	TSM	ASML	AMD	MU	INTC	AMAT
AI Infra	AMZN	GOOG	MSFT	ORCL	CRWV	NBIS	IREN	DOCN
Security	CRWD	FTNT	OKTA	PANW	ZS			
Apps	SAP	CRM	ADBE	NOW	INTU	ADSK	WDAY	VEEV

Source: FactSet

What the AI-Natives are Saying

In the spirit of sharing more high-quality proprietary data to the debate, we're focusing this report on the feedback we heard on token optimization and open source model share gains from 15+ private AI-native companies that we hosted at the 5th annual UBS Private AI & Software Conference in Menlo Park last week. Among the 75+ private companies that we hosted were AlphaSense, Anduril, ClickHouse, Cohesity, Cognition, Crusoe, Cursor, ElevenLabs, Factory AI, Fireworks, Glean, Gong, Harvey, Hebbia, Higgsfield, Perplexity, Ramp, Runway and Sierra. Apart from Anthropic and OpenAI themselves, these AI companies are perhaps the most valuable sources of information about enterprise AI use. In most cases, these AI-natives harness a variety of 3P AI models and hence are in a very good position to opine about share shifts. Most of these private AI-natives do not have an active dialogue with the broader tech investor community and are not on the conference circuit, hence our desire to share what we learned.

Token Optimization

AI Firm 1

- *The first element which everyone talks about is cost. I think that a lot of the spike in our revs over the last six months has been pretty wasteful spend. I can't tell you how many enterprises I have talked to where they were just measuring how much compute people were using, and you got a checkbox if you burned a bunch of tokens, which is the most insane thing that I've ever seen in my 15-20 years working in software.*

AI Firm 3

- *If there's a certain part of your engineering org or your org more broadly that you find is maybe not using tokens most efficiently, you can actually route them to the cheaper models. This is something we see a lot of. I won't name names, but there is one bank that we work with that found they were spending hundreds of thousands of dollars per month on inference to Opus 4.8, the most expensive model. People were asking questions like, "what's the best restaurant in San Francisco?", "what's the weather like today?", "where should I go for this meeting?". Clearly, you don't need the frontier of intelligence to do this, you can route to a cheaper model for that.*

- *This tokenomics is the tip of the iceberg for what will become a more interesting problem, which is that every enterprise CIO is going to need to answer the question - for every incremental token, where do you put it? Having universal token allowances will not make any sense for your business. That would be like in a business of 50,000 people paying everyone the exact same. It makes no sense. And so you're going to have to answer where do you put that incremental token. But how do you actually answer that in a rigorous manner? You're going to need to be able to measure what are people doing with these tokens. What is the ROI that's coming from it? If I keep giving them more tokens, do they keep delivering more ROI? Or is there a point at which there's diminishing returns? At first everyone was worried we're not going to get adoption. It's very clear we're going to get adoption. Now the question is, can we get that adoption and make it efficient?*

AI Firm 4

- *You hear a lot about token-maxing, partly because of FOMO. But the conversation has now changed from token maxing to value maxing, with customers asking – hey, we used this many tokens, but what value are we providing?*

AI Firm 5

- *When we were just selling you a per seat license, no, we weren't hearing a lot of talk about token optimizing. They don't care, right? But now as we move these customers to seat plus usage pricing, optimization absolutely matters. It's not something historically speaking that we've needed to have deep in-depth conversations with our customers yet, but that is literally changing as we speak.*

AI Firm 6

- *Are we seeing our customers focus more on token optimization? We are. I think it's a little overhyped though. Most enterprises are still actually on the far other end of the spectrum where they haven't given enough people access to AI products, they're so early. The media will obviously focus on some of these extreme examples, where folks go over the line. Most enterprises are still at a minimal AI deployment footprint, there's just so much room to grow.*

AI Firm 8

- *Overnight, everyone's token bill 10x'd or 100x'd. I have talked to financial institutions which purchased Claude and it was a $10 million commit, and they said three months later it was a $60 million commit, and they did not even know what happened. It depends on the enterprise, but I've spoken to a million different CIOs or COOs and all of them are like, "what just happened, we spend so much on Claude now, it doesn't make any sense." It happened literally so quickly that no one has even had time to react. That said, I don't see a huge token optimization effort. Not because the ROI is so good, because in many cases it isn't, but because tokens create more tokens. You have loops. The loop right now is "okay, I didn't get to a sufficient outcome, I'm going to go call another agent, try again". All of a sudden you're 10x or 100x your token consumption. The cat's out of the bag. Token maxing is like throwing headcount at a problem. There's a lot of parallels between us having these AI token workforces and human workforces, you get all of the same dysfunction from scaling too fast. But the flywheel's not stopping anytime soon, even though people are now aware of it.*

- *They're now spending more on Claude than they are on human headcount for the division that bought Claude. The funny thing about all that is that they're not only spending more on AI than humans, they're also hiring more humans than they formerly did. So AI is not cheaper, it's actually more expensive than humans, and it's not saving your job, it's actually making you hire more humans because it's creating more work. So AI is acting more like a workforce in that it has to be managed and it has to be honed in than it's acting like a software where it gets you to a predictable outcome. So it's more important than ever to actually say whether it's Claude or OpenAI or cheaper open source models.*

AI Firm 9

- *I think we're really moving from a POC phase to a POV, a proof of value phase, where costs are increasingly becoming top of mind, some more than others, right? For us, internally, we have unlimited budgets on all things AI because we're seeing a ton of value accelerating. What we see from the customers is, "we really just care about the best experience possible, and so we're using the latest, greatest models across the stack", they're not throttling yet. Maybe they haven't deployed at scale yet, and they really just want to see value. But we are starting to see a trend, as companies scale across a variety of agent use cases, where costs really start to matter. At this point they start to think, "okay, for these certain workflows, maybe we can use some cheaper or faster models where the human-like experience doesn't matter as much". They're just finding more efficient ways to deliver that outcome, through model selection and a variety of other techniques. For core use cases, they're saying "this is our bread and butter and we need absolutely the best model possible".*

AI Firm 10

- *In terms of efforts by our customers to optimize their token use, we now hear it every single day. Every single day it's a conversation. Internally, we don't have token budgets, it's not something that we, our engineers, have been trained to think about. But every single customer conversation is about this.*

AI Firm 11

- *Our spend on Anthropic was $20k in December and we're about to cross $1m in July, a 50x increase in 7 months. But our revs are growing a lot more than our expenses. And incremental dollar spent on AI is so valuable, it feels like magic. So we're not throttling back, we don't want people to stop using it. But, we're now alerting if you hit a certain threshold on a monthly basis, we're going to start rolling out governors internally, like G&A staff should not be using the frontier* *models.*

Model Routing and Diversity

AI Firm 1

- *There is a cost arbitrage opportunity when you can source from a bunch of different models. There are new models getting published all the time, open source, frontier, there's liquidity there. If you can understand which tasks a specific model is very good at, you can choose which models to use for a given set of tasks. About six months ago, we'd take a whole task and we'd say, "all right, this model is probably the best model for it and will probably give the best price performance." Now, the individual sub-tasks within that project will go to different models because we know exactly which models are good at which tasks. This task-specific performance is very hard to see on generic benchmarks. Opus and GPT-5.6 are pretty similar in the SWE benchmark, but we benchmark very specific things, like how good is this model at a .NET migration. Here, there's actually a lot more differentiation. We have all this data on what the models are good at, what specific tasks they're good at, and so there's a lot of arbitrage on the price side that we can have and that we can pass on to our clients.*
- *Customers also have an access problem that we can help with. We work globally, in Europe, we're in the Middle East, we're in Asia, we're in all these places where frontier model access is not actually a default. We're doing a lot of work with providers in the Middle East where they don't have frontier access. And so having a system that you can deploy in pretty much any cloud or air-gap that can serve any model is a big advantage, particularly for sovereign deployments. If you look at governments or folks that are worried that they're going to get shut off from a particular model provider in the future, they want something that they can easily switch between.*
- *For standard enterprises, the frontier is constantly moving. So if you pin yourself to a specific model provider and then that model provider falls behind, you now have a three to four-month period where you're stuck. We have a lot of enterprises that went all in on a particular model provider, like a Claude Code or a Codex, and then that model provider fell behind, and then they're like, "Oh, shoot, now I want to give the developers this other model," and they actually have to install a totally different application. So it's not just the model level, there's this whole application that needs to be integrated into the enterprise that everyone needs to figure out how to use, and if that is tied to a specific model provider and that model provider falls behind or gets too expensive, now you've got two or three different applications that developers need to switch between just to use different models.*
- *The routing requirements that we use are very specific to the enterprises that we work with. Each enterprise has a very different set of constraints. Everyone's trying to figure this out. You have some people who are like, "no Chinese open weight models, period". You have other folks that say, "We don't want to use this specific model provider because we don't like that model provider". If we have no constraints, then we will route to whichever model provides the best price performance for that task. If they want max performance, then we'll route that way. If they want to optimize specifically for the best economics, we'll optimize that way. We'll also optimize for whatever rules they have. But if people are open to using open weight models, then we will probably route to them quite a bit because they're very inexpensive.*

AI Firm 2

- *At the model layer, we have what we call our constellation of models, which is basically a decision about which models to use for different tasks. For knowledge retrieval, we have our own post-trained retrieval model. For really detailed reasoning, we'll use the frontier models, GPT-class and others of that ilk. So each task has a rank order of what models it would like to use. I really don't want to use a model that isn't Fable 5 or GPT-5.6 for coding. It's like, I must value my time very low if I'm going to down-select on coding. But certain things like writing an email, I'm perfectly happy with a Sonnet model. I can't really tell the difference. It might even be better. It doesn't overthink things.*
- *My theory of how it's working right now, which may or may not bear out, is that people will build out all the use cases on the frontier models, then those models won't be frontier anymore. They'll get faster, cheaper. If those use cases are still*

relevant, which in our space they often are, then they will move over to non-frontier models where cost and speed are more important. But if the frontier models advance enough, which I think they have, then you end up with a new space of use cases that is an order of magnitude larger than everything that's happened before. That's why, in my opinion, the frontier models are still the vast majority of API spend, because they've unlocked these new use cases. But if we don't have one of those breakthroughs, then the non-frontier will catch up.

AI Firm 3

- *One thing that is really non-negotiable is that any serious enterprise cannot standardize on just one model provider, whether it's OpenAI, Anthropic, Google, xAI, and Cursor, you cannot standardize on just one. For one, we've seen that some of these companies are quite mercurial in their stances on certain things. Or, things change relatively quickly, or even their relationship with the government and the way that you can engage with them. And so I think that alone is a clear sign that you need to protect your business, and you need to make sure that you are not at the mercy of any one model provider. You cannot standardize on just one of those.*
- *Now, one solution is you could say, "Hey, let's just get all of these tools for all of our developers." Now, at startups, that's actually what we see as somewhat steady state. If you're an organization with tens of thousands of engineers, and you're asking them not only to change your workflow that you've had for the last 30 years, but also to switch onto adjusting between 10 different tools depending on what task you're doing, that is not going to go well and you're not going to have high adoption. And so what we see is demand for tools that are independent from the model providers, but allow you to dynamically adjust between them, support multiple models.*
- *The other part is, do your engineers even know which model to use at what time? The answer is often no, because there's a new model that comes out every day. How are you going to know which one is good at what subtask or what language? Our router allows you to dynamically route to different models on an inter-task or intra-task basis. If you're working on some large migration and one part of that is in Python and the other part is in COBOL, we will dynamically route you to whichever model performs best at the Python part and whichever model performs best at the COBOL part.*
- *So the first phase of this was to basically do our own internal evals, determine what model is best and set that as default. Some percent of people - probably a higher percent in startups, lower percent in the enterprise - would go and manually change the model when necessary. But generally, whatever model was selected as the default, that's what they would use. There was for a long time a perception that Anthropic was by far and away the best model, and then basically no one would touch that default setting. Now, OpenAI GPT 5.6 is really, really good. I think it's, honestly, basically equivalent to Opus 4.8 in terms of performance.*

AI Firm 4

- *The frontier labs are providing a few models that solve common tasks, and they provide those models as a black box API for enterprises to build on top of. Our thesis is that intelligence is a derivative of data. If you look at the data goes into the closed AGI models, it's public internet data and labeled data. This is actually relatively small compared with the global data in totality, single digit. The majority of the world's data is locked inside applications, locked inside enterprises with no access by frontier labs. This data is proprietary knowledge of their users, their products, their business, and those companies will never share that data with another company that offers common knowledge or generalized intelligence. The frontier is to activate this private data and to build a specialized intelligence only belonging to your individual company, your individual product team. That intelligence is higher quality.*
- *Should we use this most expensive model to solve my specific problem, which is much narrower? The answer is often no. That's why we built this platform to help every single company with private data turn that into a model you have full control over. Once you have your customized model, we customize the deployment, customize the inference for your application only. The world will not be dominated by a few generalized intelligence models. The world will have millions of*

specialized models, one per application, per use case. I think both general intelligence and specialized intelligence models will co-exist. I think about a general intelligence model as a power line, it goes everywhere. But you cannot use that to cook your breakfast, right? You have to have an appliance that delivers special value, you need your refrigerator to store food.

AI Firm 6

- *For us, multi-model orchestration is a huge asset. If a customer wants to make only certain models available to its employees, great. We will orchestrate that. Our job is to be Switzerland, to give our users every option, every choice. Our product can naturally route to the best model for a given subtask. We want to have an orchestrator model, the one that runs the show and that needs to be a more powerful model, where we control the cost fully. We don't want to be dependent on a lab for that model, and that's what we're post-training on GLM. The GLM open source model is powerful enough to act as an orchestrator, for the same Opus-grade performance, at three times cost efficiency. I am also expecting a lot of amazing things from Nemotron, Nvidia's open source base model. Model competition is a good thing and it keeps the frontier moving forward faster.*

AI Firm 7

- *We are very focused on optimizing tokens for our customers so that we can drive value for them. Token economics and driving token costs down is an architectural challenge. Just model routing will not cut it, right? So model routing is the minimum requirement and a lot of companies do smart routing to direct the query to the right model. And now open source models are also coming up. The second thing is to have not just smart model routing, but to build smart harnesses. We came up with a product that sits between the chat window where you put queries and the large language models. This product was built on Nemotron, Nvidia's open source model. It will then slice that query into small chunks. Perhaps only two chunks need deep reasoning, and we'll send those to the deep reasoning model. What we are doing here is we are reducing the input tokens as well as the output tokens by creating that middle layer, that's why we say that driving token efficiency is also a harness issue. Maybe a third aspect is building telemetry so that customers can assess the token cost by user, enabling them to cap the models that they can use.*

AI Firm 10

- *Our core advantage and competitive edge is that we provide every model available. Users can select Opus models, you can select Codex and GPT models, you can select our 1P models. We have always been about model neutrality. You open our product for the first time, the first thing you'll see is a model picker. We're not trying to push our models specifically, it's always been about this idea of choice. This has actually been a huge competitive advantage, as major enterprises all want to avoid being locked in.*

- *The general stat that I can share with this room is about sixty percent of users, once they pick a model, they never switch it again. And so what happens is you go to the cafeteria, you hear from your engineer friend that Opus 4.8 is a great model. You're like, "sounds good. I need that." You put 4.8 in your model picker and you never switch it sixty percent of the time. And at the cost of 4.8, you are doing a lot of work that probably does not require 4.8. And it gets worse when you select max level thinking and a one million token window, and then you pick the fast option, because that can double the cost of the model.*

- *And so we are helping our customers solve this. The first way is to constantly give more controls to enterprise administrators so they can select what models to enable. You can have granularity. You can say, "my power users, I want them to have no budget for all the models. But for my standard contractors who are just doing log analysis or something, just give them our 1P model and only allow them two models at that variant". That's the first step, providing them with more control over budgets and models. The second method is to use our router, this allows our customers to select auto mode with different levels of intelligence or balance or cost, and then we decide what model is right for them. We built a classifier that will detect what prompt should go to what model for the best possible result. You just trust us because we have so much data to decide what model is good for what.*

- *The third method is the launch of our new model, which is priced incredibly competitively. We're having conversations right now with very, very large banks and customers and showing them that if they were even to move 30-40% of their spend with us from their current model choice to our new 1P model, the savings could be material. If you couple that with our router, then they can save on average 20-30%. That amounts to real savings. And then the fourth thing is harness improvements. The harness is the car around the engine, it's the way you use the model. It's the way the model is instructed to call different tools and search the internet and do different things. With a really, really efficient harness you could still run Opus 4.8 but have better efficiency for the exact same request.*
- *This is not necessarily bad for the frontier models. To be clear, these techniques I just described might still actually leverage frontier models. If you need frontier level intelligence using frontier labs, you have that option. The rest of the time, we use the idea of delegator model. Think of a manager and some employees. The manager would give some instruction, and some of the lower level employees would do some work. So it doesn't mean moving away from the frontier labs, as there are some very good things to take from those models. But I think if you're saying, "what's the weather in Paris?" as a very bad example, then sure, you probably don't need that level of frontier level intelligence.*

Open Models

AI Firm 3

- *I think the interesting thing that we're seeing since the beginning of this calendar year was at the start of the calendar year, in the enterprise, the percent of tokens that went to open models was basically like 10 basis points. So de minimis, basically none. So two months into the year it became around, you know, 1%. We're now well past double-digit percent of tokens going to open models. My sense is that within the next 12 months, it will be clearing 90% of tokens going to open models. To be clear, I'm talking about percent of token share, not percent of dollars. You might be sending only 1% of your tokens to the frontier models, but maybe those are the most critical and the frontier labs will have a lot of pricing power there.*
- *Internally we don't have token limits, engineers can use any models. Our internal engineers are 50/50 between closed models and open models. The open models are just faster and cheaper. There's an interesting dynamic where at first, there's a little bit of an ego associated with it, with engineers saying that "no, no, no, my work, an open model can't handle, you need Opus to do what I'm doing". Yeah, yeah. But relatively quickly you cross that hurdle and you realize, wait, actually, I can do this 10 times faster, 10 times cheaper with an open model. Obviously, it's incredibly important to be sovereign over your data and where you're deploying. But that aspect aside, there's no shame in using an open model if it's 10 times faster and 10 times cheaper.*
- *The delta between the frontier open models and the frontier closed models seems to be narrowing. But we're not discussing, you know, a fixed pie that is growing relatively slowly, such that the discussion is about who has what slice. We're dealing with a situation where the pie has rocket boosters attached to its circumference, growing so quickly in size that there's literally vacuums in the pie. Understanding the dynamics of who owns what and who gets what share seems very, very difficult to determine. I don't think demand is going to slow for either the closed providers or the open providers.*
- *Having OpenAI, Anthropic, Google, SpaceX all be at the frontier, Meta is now getting to the frontier, this is good. The more competition we have, the better for every consumer of intelligent models. I think the world that no one wants is a world where there's only one or two people who are doing that. On the open models, to be candid, the Chinese models right now are by far and way ahead. I also think Nemotron from Nvidia is actually fantastic and I saw that Thinking Machines just released an open model that seems to be pretty decent. And so that's good to see. There's also Reflection. The two things that I would really like to see as an American is to have a US model on the open frontier and to just see more open model providers and closed model providers.*

AI Firm 4

- *There are many research teams that we partner with to deliver the best open weights model. We work very closely with Nvidia Nemotron. Microsoft is also releasing an AI model and I love the research team there.*

AI Firm 5

- *When we first started, we exclusively used the hyperscalers for our AI infrastructure, primarily in Azure and we accessed the models through things like Azure Foundry or AWS Bedrock. We had to do that to get access to the frontier models but also, equally important in some ways, was that the hyperscalers were the only organizations that at the time had the security commitments in place that we needed. And so it was a no-brainer that we were going to be using the hyperscalers for the foreseeable future.*

- *But now we're beginning to see a world where there are these open weight models and they have really nice performance to price characteristics. Now all of a sudden you're in a world where I'm not just beholden to the hyperscalers. Now I have a market of people who are competing for my inference, including options such as Fireworks. We want to start doing more with these open models, to do more post-training and inference providers like Fireworks are really great for us to start working with. And then a natural evolution is for some of those post-trained models to become more workhorse models within our stable.*

AI Firm 7

- *We have a model hub with 30+ models, a model garden. So we are very open and model agnostic. We believe that open source models will become very relevant in the next six to twelve months or even faster. That's what we are seeing. We are doing a lot of evals. They are maybe as powerful as some of the high-end frontier models at probably one third or one fourth of the cost. Customers are becoming very smart, and they are also now maturing, and they also understand that it's not one-size-fits-all. It's about using the right model for the right task, it's not always using the smartest model. You have to match the workload to the best model.*

AI Firm 8

- *Claude is currently the model that is most in vogue, 80% of our volume goes through Claude, at least the volumes not going through one of our custom-trained models. No one in regulated industries that I've met is willing to use the Chinese models. You can take those models and fine-tune them, post-train them in a cost-effective way.*

What Did We Learn?

A few consistent themes emerged from these conversations:

- **Huge Ramp in Enterprise AI Adoption:** We flagged this in our Private AI event recap summary note (see here) and not in this report on the model layer, but it's worth repeating one high-level observation that the revenue growth rates of these AI-natives, just in the last 6+ months, have been extraordinary. Without naming names, examples include "now $1 billion in revs, from $400m in January", "just passed $500m, triple YTD", "now $250m, triple since January", "$500m, from zero 14 months ago" and "just reached $500m in ARR, up over 7x y/y". These growth rate inflections since the Jan/Feb timeframe are due to a combination of model performance gains, a shift to more token-heavy agent-based offerings and in some cases a flip to a token pricing model. What this signals is that enterprises ARE indeed leaning into AI and not just in the coding arena. These growth rates are also a positive read to tech suppliers serving this hyper-growth customer segment, including Datadog and the providers of AI infra or compute.
- **Token Spend Optimization is Real:** When we first weighed-in on this subject last month, we concluded that AI compute/token spend had become a real concern for ~60% of organizations. That figure now feels higher. Early-stage enterprise AI adopters are not there yet, and as noted above, many of these hyper-growth AI-natives are not overtly putting token spend controls in place just yet. But it is abundantly clear that most of their end customers are now introducing some form of guardrail to control AI token usage, including but not limited to down-tiering to cheaper non-frontier (often Chinese) models for non-frontier tasks. The new popular term appears to be "value-maxxing", but the intent is the same, to trim wasteful spend. One of the AI-natives partly attributed the recent surge in token optimization efforts to the shift of several AI-native/apps firms to token or usage-based pricing (see Microsoft's June 1st shift to token-based pricing for GitHub Copilot). In our view efforts to clamp down on out-of-control AI compute costs will likely escalate in 2H, not ease. In the next/last section of this report we'll address the resulting impacts across the tech stack.
- **Welcome to the Multi-Model World:** These AI-natives offer model diversity as a core competency, in part because many of them are competing directly with the frontier labs (or eventually might) and don't yet have robust 1P LLM offerings themselves. As such, we know their commentary is skewed to the "model garden" path. Even with that key caveat, our two days of conversations with these AI-natives left us more convinced that a "winner takes all" or "winner takes most" end state in the model market is unlikely, that was yesterday's question. It feels like over the last few months we quietly passed into a multi-model world, in which frontier labs will coexist and compete with a plethora of other AI models, some closed-source, many open-source and/or custom-built for companies and use cases. The LLM market has commoditized in the sense that it is clearly more fragmented and competitive, but not yet in the sense that performance gaps between models have completely narrowed (models such as Anthropic Opus 4.8 and OpenAI GPT 5.6 were clearly described by these AI-natives as being functionally superior).
- **Avoiding Model Lock-In:** The consensus view is that routing tokens to non-frontier models is purely a function of cost control and arbitrage. In our view it mostly is, but another rationale bubbled-up in these conversations – the desire to avoid lock-in. Not only is the frontier of performance constantly shifting (the leader today may be the laggard tomorrow) but there is now a non-zero risk that access to frontier models could be restricted in ways that betting on one could introduce too much business risk. The recent statements from the CEOs of Microsoft and Palantir about the desire for model diversity stemming from enterprise fears that frontier labs will absorb their corporate IP was not something that these AI-natives (or our broader enterprise customer checks) flagged.
- **Model Routing Now Table Stakes:** Model routing - dropping down to cheaper more token-efficient AI models where appropriate - was described as a core competency by almost every one of these AI-natives and the anecdotes above represent insightful descriptions of how this works in practice. We are now way beyond merely offering customers choice via a model drop-down menu. These AI-natives now have sophisticated software that can dynamically route specific/narrow tasks within a larger job to different models, in part based on proprietary

usage data. But when model routing is described by everyone – we half expect the SaaS or incumbent apps software firms to bring this up on their pending earnings calls – then it sounds like it has already become table-stakes and will therefore be hard to monetize.

- **Open Chinese Models Have Arrived:** Made-in-China (perhaps not technically accurate as we wonder if in many cases they are trained on compute infrastructures outside China) alternatives to the frontier labs such as GLM (from Z.ai), Kimi (from Moonshot AI), DeepSeek and Qwen (from Alibaba) have arrived. That is clear on everyone's Twitter/X feeds, clear from OpenRouter data and clear from these conversations. The game has changed and now it is not just about advancing the frontier of performance and use cases, but about token efficiency (see Elon Musk's tweet post the recent launch of Cursor Grok 4.5, "an Opus-class model, but faster, more token-efficient and lower cost"). It's not just the AI-natives that are singing their praises and are open about routing to these models, but F500 enterprise customers have begun expressing an openness to deploying Chinese models, albeit in a safe and controlled environment. This enterprise comfort level is getting a boost from trusted hyperscaler partners such as Amazon and Microsoft offering secure access to Chinese models on AWS/Azure as well as offering versions of 1P products with DeepSeek and other models.
- **Nemotron and Other US Open Models:** These AI-natives are indeed model-agnostic, but many expressed hope that US-based technology firms would seize the opening resulting from a spike in demand for token-efficient models and launch US-made open AI models. Interestingly, the one cited most often was Nvidia's Nemotron model, a big change from six months ago when we barely heard references to Nemotron (perhaps evidence that Nemotron 3 launched in Dec 2025 was a big step-up). This is a huge change compared to years ago when Meta's open Llama models dominated the category. We expect more models to launch into the open/token-efficient end of the model spectrum, and indeed, during our event last week Thinking Machines announced a new open weights model called Inkling.
- **Custom/Specialized Models:** While the discussion above was very focused on the fortunes of frontier (OpenAI and Anthropic) models versus open/Chinese models, another related category was addressed, that of custom or specialized models fine-tuned on foundation models and designed for specific customers and specific tasks. This is the pitch from privately-held Fireworks and Baseten which are commonly-known as "inference platforms", used by AI-natives and enterprises to optimize inference for custom and open models and related applications. Fireworks just last week announced a $1 billion raise at a $17.5 billion valuation, and has said "*the world will not be dominated by a few generalized intelligence models. The world will have millions of specialized models, one per application, per use case*". This raise occurred against the backdrop of the CEOs of both Microsoft and Palantir making statements espousing the view that enterprises need to retain their corporate IP and in the words of Satya Nadella "enterprises will demand the rights to use model outputs to fine-tune and/or train their own models".

Impacts Across the Tech Stack

Let's now address the impacts of token optimization and a mix shift to cheaper non-frontier AI models across the AI and tech eco-system.

Frontier Model Providers

We've absorbed a lot of Twitter/X commentary about the impact of a more competitive LLM market and most are defending the outlooks of the key frontier model providers – Anthropic, OpenAI and Google. The bull case is clearly that the market opportunity, the secular AI spending growth trend, is simply so strong that it should continue to power extraordinary growth rates for the frontier labs and dwarf/offset the drag from the token optimization phase we've just entered as well as any token share loss to open models. This is especially true if/as the frontier labs keep pushing the boundaries of what their models can do, opening up new TAM.

Indeed, several of the AI-natives made precisely this pitch, perhaps best voiced by AI Firm 3 above: "*We're not discussing a fixed pie that is growing relatively slowly, such that the discussion is about who has what slice. We're dealing with a situation where the pie has rocket boosters attached to its circumference…I don't think demand is going to slow for either the closed providers or the open providers*". We're sympathetic to this bull case. At the AI infrastructure level, "neo-Clouds" like CoreWeave emerged as alternatives to the incumbent hyperscalers for AI training and inference workloads. Did that materially dent the growth rates of the hyperscalers? No, they're accelerating at a record clip. Alternatives to Nvidia GPUs (Google TPUs, Amazon Trainium chips) have emerged and yet Nvidia's Data Center segment continues to post extraordinary results.

Impact on Reported Revs Growth

At the same time, we have to be open-eyed to the risk that token optimization and a more competitive LLM market could weigh on frontier lab growth rates, even if they remain outstanding. Let's be objective - excessive use of Opus 4.8 for non-frontier tasks that boosted Anthropic's revs growth in 1H but will now be routed to a cheaper Chinese model in 2H does not help reported growth. The last time we saw a spend optimization wave was in 2023/2024, when enterprises responded to excessive COVID-era IT spending by optimizing spend on cloud infra (AWS, Azure) and other usage-based software (Snowflake, Datadog). Despite the bullish pitch ("optimizing today always leads to more spending tomorrow" a la Jevons Paradox), many software firms and their investors suffered through a painful period of 4+ quarters of growth deceleration. As such, this emerging era of token optimization has many tech investors concerned. One strong rebuttal to the cloud spend optimization analogy is that we're simply so early in the AI cycle, the spending tailwinds are just so strong.

Tech investors are now on edge waiting for any updates/signals from Anthropic and OpenAI about the impact of token optimization and open model share gains, be it via a publicly-disclosed revenue update, more qualitative comments or via new model releases and token efficiency gains. This may likely be the needed near-term catalyst, apart from what the hyperscalers may signal when they begin reporting next week. Sam Altman's tweet last week, that "*we did not have our best last 12 months ever*", did not boost confidence, even if he was referring to OpenAI's product roadmap and not revenue growth. Bottom line, we conclude that these LLM market changes do add risk to frontier model provider growth targets but that the TAM is so large that many model providers can win.

Comments from OpenAI's Chairman

OpenAI's Chairman Bret Taylor weighed-in on these debates about token efficiency and the popularity of Chinese open source models:

- *I like to take it back to first principles, which is why do people choose the model for the task at hand. There's two things: AI tokenomics, which is how can I know that I'm getting the value from this spend on tokens, and sovereignty, which is just making sure like what is my competitive moat in the age of AI. And I'll say one thing that I think is a little bit overblown about these open weight models is they're not necessarily cheaper to run. It turns out the frontier models are much, much* *more token efficient. And beyond that...not every token's actually equal. And if you've used a really advanced model like 5.6 from OpenAI, you'll know, wow, the code it writes is a lot better than the previous model.*

- *For a lot of tasks it turns out these frontier models from OpenAI and Anthropic are actually just better than these open weight models. For every price, performance, latency, cost, the US labs need to have the best model available. I think that's more likely than not just because it turns out that just having open weights isn't actually the main thing driving many of those costs. And you know, token efficiency, compute efficiency is something that I think the frontier labs are excited about. It's going to be how efficient is your inference. The frontier labs are still far ahead here, and I think that's where the value is going to accrue...I think this is an area where the frontier labs still have a significant advantage.*

Potential Reactions by the Frontier Labs

The frontier labs won't stand still. We can think of several potential moves:

- **Invest in More Token-Efficient Models:** OpenAI and Anthropic could potentially end up investing MORE to launch ever-more token-efficient models (on the latest generation of chips) in order to thwart the threat from rivals. Driving greater token efficiency is what the OpenAI Chairman was getting at in the quotes above. Indeed, in a recent interview, OpenAI's infrastructure head articulated OpenAI's mission "to make tokens cheaper, to make every task require fewer tokens", driving continued infrastructure as well as software/harness efficiencies. This OpenAI executive went on to argue that with AI agent use, OpenAI needs a heterogenous hardware layer, saying that "it is not economically possible to use only GPUs, we need other accelerators". This token optimization phase could accelerate the push by both OpenAI and Anthropic to drive token costs lower via newly-trained models with better price-performance and by lowering compute costs. One counter to this argument is that "inference efficiency" isn't just the domain of the frontier labs – it is exactly what the likes of Fireworks and Baseten are driving on behalf of customers that are running AI workloads on open and custom models.
- **Move Up the Stack Into Software:** The advent of a more competitive and price-sensitive model market could motivate OpenAI and Anthropic to move up the stack and accelerate the pace at which they productize their models via 1P software products and drive revenue growth beyond API model access. Needless to say, this would not be a positive for incumbent software firms (discussed below).
- **Cap Pricing, Encourage Model Routing:** The frontier labs could react by limiting increases in (or even trimming) API model access price points. This syncs with the WSJ article about price cuts at OpenAI (see article here). In our view this path is unlikely, as the frontier labs may be strongly dissuaded from getting into a pricing battle with Chinese AI labs, the pricing gap may be too large to begin with and OpenAI and Anthropic may simply be seeing too much growth/TAM to be focused on price to protect share (this is a tool to use when the market has matured). We would not be shocked, however, to see the frontier labs themselves – Anthropic and OpenAI – become more front-footed about helping customers select the best model for the task (within their model suites of course). This would effectively be taking a page from the AWS playbook, as AWS assertively helped their customers optimize/cut excessive post-COVID cloud spend on the assumption that such actions would benefit AWS over the long term.

Potential for Government Action

This was the subject that lit up Twitter/X over the weekend. Some investors have asked whether a share shift to Chinese AI models could invite US government restrictions, noting that Airbnb's use of Alibaba's Qwen models (to power its customer support agents) already motivated the US government to launch an inquiry. Indeed, it was this excerpt from a tweet by OpenAI's Head of Strategic Futures Dean Ball that was intensely discussed by industry pundits over the weekend: "*I would guess that the Trump Administration will at some point realize that their best strategy here would be to create large amounts of regulatory risk around the use of open-weight Chinese models. You don't need to ban open-source, you just need to direct every agency to issue soft law that creates FUD*". Now, to be clear, this may not be the official view of OpenAI. Bottom line, US government action may have a non-zero probability in light of Airbnb's experience, but in our view the use of Chinese AI models may already be too prevalent (if at 30% of token use) among US-based organizations to think that the US government can restrict their use (or would want to, as lower AI costs drive adoption and benefit so many US enterprises), especially when they can be safely deployed in controlled (on-premise, or AWS/Azure-hosted) environments.

Chinese Model Providers

This emerging mix shift and openness to cheaper Chinese models would obviously favor the likes of Alibaba (Qwen models) and Z.ai (GLM models) as well as MiniMax, DeepSeek and Moonshot (Kimi models). Their models are typically open-sourced and free, limiting the monetization upside, but we could see more commercial deals akin to the BMW-Alibaba agreement for access to Qwen models. The Hong Kong-listed shares of Z.ai (covered by UBS analyst Wei Xiong) are +827% YTD, even after a -49% move over the last month, partly on the back of perceived competition with Moonshot's newly-released Kimi model. As noted above, several of the AI-natives expressed hope that US-based technology firms would seize the opening resulting from a spike in demand for token-efficient models and launch US-made open AI models. It was Nvidia's Nemotron model that was cited most often.

Nvidia and the Semis/Hardware Trade

While it is clear that the twin risks of token optimization and a share shift to open-weight models are perceived by some investors to add risk to the broader AI trade, our UBS Semis research team (led by Tim Arcuri) weighed-in with a note (see link here) post our Private AI Conference. The conclusion of the team was as follows:

- *We do not view this as reducing demand. Rather, we think demand is increasingly being reallocated toward the most cost-effective models and workloads. The focus on optimization is particularly favorable for NVDA given its software leadership in open-source model development, the Nemotron family, and the fact that most open-source models continue to be trained and fine-tuned on NVDA hardware. AI demand remains exceptionally strong and appears to be broadening rather than slowing. We think this creates a larger and more durable demand backdrop for inference infrastructure, compute capacity, and AI-native applications.*
- *Greater open-source model adoption aligns with NVDA's recent focus on open source (at CES in January and GTC in March). Our own expert conversations suggest that most open-source models are trained or fine-tuned on NVDA hardware, which in many cases leads to superior inference performance on the same hardware stack. While open-source model adoption could pressure frontier-only economics, it is viewed to continue expanding total inference demand. Rather than reducing AI infrastructure demand, lower-cost models likely increase the number of viable use cases and drive broader deployment. The beneficiaries increasingly appear to be inference-optimized compute, memory, networking, and deployment infrastructure rather than exclusively frontier-model ecosystems. Lastly, we believe NVDA is moving to a more vertically integrated business model as evidenced by recent supply chain evidence that it is procuring fiber capacity and signing large data center deals. This only furthers our view that NVDA is very well positioned in a world where it is a primary supplier of open source models and has better control and visibility over its input costs.*
- *To some degree, token costs are being skewed by the industry being short compute as well as power. China is also short compute so it's one thing to train these open source models but it's an entirely different thing to produce inference tokens, which still need 3P infrastructure hosting platforms. Additionally we would note the signs we're seeing in the supply chain that both OpenAI and even more so Anthropic are bring on tens of GW's of capacity over the next few years, which will help these frontier model suppliers to better scale inference costs.*

Just this past weekend there were a few posts/media statements from industry participants that would support the view of our Semis coverage team articulated above:

- **Moonshot/Kimi:** *Kimi 3 has received far more love than we expected and our GPUs are feeling it. Over the past 48 hours, demand has pushed close to the limits of our current capacity. We're temporarily pausing new subscriptions. We're adding capacity as fast as we can and will reopen new subscription spots in batches. This will help us match compute more precisely and keep the experience stable.*

- **Databricks:** *The frontier labs are amazing, and they're going to continue doing great. But what happened basically is that everyone wants to do cost controls, and they want to control their budgets. As one executive of a F500 told me, his cost of AI is increasing exponentially. His revenue is not increasing exponentially. If this continues, he will go bankrupt, so he has to do something. Then open source is… for the really difficult questions let's ask the frontier American models and pay a lot for it, but for most of the mundane tasks that you're doing like "take this field out of Salesforce, summarize it and enter it into Workday" use a cheap open source model. That's what they want to do. We're hosting these open source models like Kimi. Kimi 3 being released I think is a gamechanger. We actually offer it to our customers, and we're running out of GPUs everywhere. We ran out of GPUs almost in Asia. Every country wants these GPUs. Japan, Korea, United States, India. So we just needed to go get a lot of these, and that requires a lot of funding. That's what triggered the fundraise for us because we're inundated with these requests, we need to get GPUs. That's really what triggered the fundraise in the first place.*

AWS, Azure and Google Cloud

The hyperscalers are already "multi-model", offering a plethora of choice (from closed source to open source) to enterprises. They are already acting as "AI platforms". As such, a mix shift down the model pricing curve to open source models (whether Chinese or not), SLMs and/or custom models may not have a negative impact on AWS and Azure, in fact as per the quotes above from Moonshot and Databricks, they may even boost demand for AI infrastructure. Regardless of which models an enterprise customer elects to use, they still need cloud-hosted inference compute. Moreover, as we noted above, it seems plausible that if OpenAI, Anthropic and Google are now facing greater competition from cheaper models, they may react (as they did to the early-2025 DeepSeek moment) with an even greater investment in training infrastructure - next-gen chips and improved algorithms - to drive unit token costs (and hence pricing) lower. That would obviously be a good thing for their compute partners. Then of course there is the "Jevons Paradox" argument of lower AI unit costs serving to drive even more enterprise use and hence demand for cloud-hosted AI compute as well as 1P AI products (we directionally agree, but would counter that this argument over-states the demand boost from cost reductions, as enterprise AI adoption is driven by so many variables outside price).

Are there risks to AWS/Azure revenue growth from token optimization and model routing to non-frontier models? Yes, although in our view they are moderate. If a share loss to cheaper models were to materially impair the out-year revenue growth rates of OpenAI and Anthropic, then their need for incremental compute capacity (or worst case, their need for the compute capacity already procured) could be diminished. But the frontier labs have until recently STILL been arguing that they are severely compute-constrained and Anthropic and Google just secured material new capacity from SpaceX (odd behavior if revenue growth and hence the need for compute is under pressure). Likewise, the hyperscalers (and neo-Clouds) are still facing an acute demand-supply imbalance and appear to have near-unlimited demand for AI compute resources.

We recently described in a report on the hyperscalers (see link here to our "The Hyperscaler Bull Case" report), that AWS, Microsoft Azure and Google Cloud are now materially monetizing 1P (Gemini) and 3P (Anthropic and OpenAI) model API access as well as IP product demand in reported revenues. Any material loss of share by the frontier model firms could conceivably impact the growth rate of this new revenue source. As such, the pending 2Q/Jun prints from Microsoft, Amazon and Google will be monitored carefully for signs (in the numbers or in the CEO/CFO commentary) of any impacts of these model-layer shifts. Some investors have also asked whether the enterprise push-back to AI compute/token costs might weigh on GPU cloud spot pricing, dissuading providers of GPU or other AI infrastructure (the hyperscalers, the neo-Clouds) from raising per-hour cloud GPU costs. We have not seen evidence of weaker GPU pricing yet.

Fireworks, Baseten and Together – A New Inference Layer

A number of private AI-native firms have sprung up over the last few years to address the growing need for inference compute for AI workloads powered by open and custom models. Firms such as Fireworks, Baseten and Together AI offer “production inference” layers on top of the AI infrastructure providers (hyperscalers and neo-Clouds) for mostly AI-native customers but increasingly enterprise customers that are running open source and custom-built AI models. According to Baseten, 90%+ of inference compute spend is from the use of frontier models, with 5-10% from custom or post-trained open source models. According to Basten, open source models are about 90-days behind the closed-source frontier models in terms of performance, but can run 70-90% cheaper. Together AI recently posted that “open model usage has gone from 10% of AI tokens to 30% in a year”, consistent with some of the commentary above.

As such, the growth of these new “inference platform” firms can offer valuable insights into the popularity of custom or open source models, at least among AI-natives. Last week as part of its funding raise, Fireworks disclosed revenues of over $1 billion, up from $400m in January, and said that it is serving 40+ trillion tokens daily. Baseten last disclosed that its inference layer handles 30 trillion tokens per day (likely higher now), which the company said on a recent podcast may be greater than OpenAI’s API volume and larger than that of Google Gemini. Fireworks and Baseten represent an AI category that in our view deserves a lot more investor attention, as it serves as a proxy for open and custom model demand.

Software Firms as Token Optimizers

Finally, these model-layer shifts have also sparked an investor debate about the impact on publicly-traded software firms. In our view the consensus view appears to be that it would be neutral or even slightly positive for the reasons described below. We’re less convinced of the positives, as we discuss.

Potential Positives

- **What’s Bad for AI Stocks is Good for Software Stocks:** This is a trading, not fundamental, dynamic, but some investors (hedge funds) have positioned themselves more favorable software stocks on a view that emerging factors like token optimization and a share shift to non-frontier models may dent the “long semis/long AI” trade and fuel a rotation into “defensive” corners of the tech space, including washed-out apps/software stocks. Indeed, as we show in Figure 1 at the beginning of this report, software stocks have out-performed the semis trade over the last month. Investors worried about slower frontier model growth might favor tech sectors that are “not in the token path”.
- **Monetizing Model Neutrality:** Could software firms gain by playing an independent “token optimizer” role, akin to each of these AI-natives marketing this as a core strength and a source of differentiation from the frontier labs? In general, software firms don’t own 1P AI models and can therefore be truly model-agnostic, similar to the advantage secured by the likes of Snowflake and MongoDB that were “multi-cloud” while AWS and Microsoft were pushing their native databases. Being multi-model could give software firms a cost advantage against OpenAI and Anthropic as well as reduce the pressure on gross margins. We expect almost every software firm to begin playing this card more vocally going forward. The challenge is twofold: 1. if every software firm is espousing their model routing software, it becomes table stakes in a hurry and 2. one might argue that the AI-natives may have BETTER model routing capabilities and harnesses than incumbents.

Potential Negatives

- **More AI Crowding Out:** Customers may react to rapidly rising AI token costs by cutting elsewhere, by reducing headcount growth, pulling back on spend with external IT services firms and/or optimizing seats or trimming the growth in their application software budgets. None of that would be good for the larger and well-penetrated seat-based SaaS firms such as Salesforce, ServiceNow and Workday. See the reports flagged at the beginning of this note for our latest thoughts on the IT budget items that are being prioritized and de-prioritized as a result of AI initiatives. The IBM pre-announcement obviously raised concerns that AI crowding-out has gone beyond apps and services to on-prem hardware.
- **Tougher Backdrop for Price Changes:** Just as many enterprises are putting in controls to better manage their AI token spend and considering ways to cut non-AI spend to offset token-maxxing, most application software firms are trying to push seat-to-usage pricing model transitions that are intended to be revenue accretive for the software firms, meaning they result in a net spending increase by customers. Needless to say, periods in which customers are absorbing sticker shock are not the best time to be hitting these enterprise customers with a new SaaS pricing model. A pricing shift CAN be done in this environment, as several of these AI-natives have proven, but only if incumbents are offering high-value AI products.
- **OpenAI and Anthropic Competition:** As we argued above, the advent of a more competitive and price-sensitive model market could motivate OpenAI and Anthropic to move up the stack and accelerate the pace at which they productize their models via 1P software products and drive revenue growth beyond API model access. Needless to say, this would not be a positive for incumbent software firms. Likewise, as we flagged earlier, firms such as Microsoft and Fireworks are espousing a world view of customers each deploying highly specialized or fine-tuned (custom-weight) models, ostensibly fanning the flames on an already-robust “DIY your AI” trend. This too doesn’t sound like a positive for incumbent application software firms.

Valuation Method and Risk Statement

Investing in the technology sector entails above-average risk given low sales visibility, rapid pace of innovation and technological change, intense competition, frequent M&A, and low barriers to entry in many markets.

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
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Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
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Company Name	Reuters	12-month rating	Price	Price date
Alphabet Inc.[13,16,28]	GOOG.O	Neutral	US$351.37	20 Jul 2026
Amazon.com[16,28]	AMZN.O	Buy	US$249.99	20 Jul 2026
Microsoft Corp.[4,16,28,7,8,6a,6b,6c]	MSFT.O	Buy	US$402.29	20 Jul 2026
NVIDIA Corp[16,28,8]	NVDA.O	Buy	US$203.28	20 Jul 2026
Salesforce Inc[16,28]	CRM.N	Neutral	US$173.79	20 Jul 2026
ServiceNow Inc[16,28,8]	NOW.N	Neutral	US$104.70	20 Jul 2026
Workday[16,28]	WDAY.O	Neutral	US$147.22	20 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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